

FLIGHTS SLIP, PASSENGERS SOAR

EVEN WITH GO FIRST STOPPING OPERATIONS, PASSENGER TRAFFIC HAS DECLINED BY JUST 1 PER CENT IN MAY

Month	Flights	Passengers	Capacity	Seat Load Factor (%)
January	2,930	406,467	503,948	85
February	2,999	433,236	517,092	88
March	2,994	417,838	515,878	86
April	2,977	431,487	513,705	88
May	2,859	427,376	492,133	92

DAILY AVERAGE (DOMESTIC) FLIGHTS IN 2023; **SOURCE** DGCA, INDUSTRY, BT RESEARCH

THE CHENNAI-BENGALURU SAGA

A LOOK AT HOW MORE OPTIONS CAN LEAD TO A SIGNIFICANT DIP IN AIRFARES

1

Airlines on the route till September 2022: IndiGo, Air India, Vistara, AirAsia India

2

Akasa Air launches operations on the route on September 10, 2022

3

Vande Bharat Express launches operations on November 10, 2022

4

Airfares on the route decline by 30 per cent in June 2023 over June 2022

fares as a result of reduced [seat] capacity... the same logic [should] be applied in the case of airlines not operating the requisite number of flights that they had themselves offered to operate.” Akasa’s Iyer thinks this may also be the right time for airlines to look at ways to cut costs. “The aviation market is governed by a lot of external factors like the cost of fuel, but it comes down to airlines... imbibing a strong culture of cost controls. Once you do that, it has a direct bearing on the overall performance of the enterprise.”

TAAT’s Mayal, however, feels the high airfares will sustain. “In the time spent in this business, I have never seen fares coming down once they go up, as the supplier (airline) also realises there is demand. Airfares crash only in the eventuality of a lean season and any such dip is also momentary.”

Interestingly in the post-pandemic period, there has also been a rise in bookings being made closer to the date of travel. If people were earlier booking tickets up to 15 days in advance, this has been reduced to seven days, leading passengers to pay higher prices. “Although fares will rationalise, they aren’t going to come down to pre-Covid-19 levels. People need to come out of the Covid-19 insecurities on cancellations as you can’t have unplanned or last-minute travel right now,” observes Yatra’s Chopra.

The high fares have also led some in the travel in-

dustry to seek the intervention of the Competition Commission of India (CCI) on the issue of alleged cartelisation by airlines, a claim that has summarily been dismissed by most observers. “Regulatory intervention, including by CCI, would only be possible in situations where there is proof that the price hike has been artificially created, or the operators have engaged in cartelisation. Mere allegation would not suffice. Air travel is not a regulated sector, much like essential services like railways or roadways,” says Jain of law firm PSL Partners.

Meanwhile, if emerging trends are anything to go by, as revenge travel ebbs and other options such as a vastly improved highway network, and more semi-high-speed trains like Vande Bharat are launched, people wouldn’t mind shifting to them. For instance, the launch of the Vande Bharat Express, coupled with the introduction of Akasa Air flights on the Bengaluru-Chennai route, has resulted in airfares in the sector declining by nearly 30 per cent year-on-year. “The moment a capacity-starved market gets an influx of capacity regardless of road, air or railway, it is not only going to enhance connectivity but also fulfil the need gap that had existed for a while,” surmises Iyer. Those paying high prices for air tickets will be praying for more of that. **BT**

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